

BATS

Past Paper Revision Series

Topic-based Past Paper Practice (Modules 4-7)

- 4. Introduction to Management
- 5. Financial Management
- 6. Marketing Management
- 7. Human Resources Management



Heung To Middle School

Book 2

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MGT401.1 Management Functions

Section A: Short Questions

Year	#	Question		Mark(s)
2012	4	With reference to any three management functions, explain how budgeting is useful to the management of a company.		6
2013	5	Suggest two advantages to a multi-national corporation of adopting divisional departmentalisation by geographical location.		4
2025	1(a)	Information:	Flying Park Company operates a theme park in Hong Kong. There are four departments which are responsible for marketing, operations, human resources and finance respectively. The company will expand its operations to Singapore, Japan and France in five years' time. A business consultant suggests re-organising the departments based on the region of operations.	1
		Requirement:	Identify the form of departmentalisation currently adopted by Flying Park Company.	
2025	1(b)	Information:	Flying Park Company operates a theme park in Hong Kong. There are four departments which are responsible for marketing, operations, human resources and finance respectively. The company will expand its operations to Singapore, Japan and France in five years' time. A business consultant suggests re-organising the departments based on the region of operations.	4
		Requirement:	Give two reasons for adopting the form of departmentalisation suggested by the business consultant.	

Section C: Essay Questions

No questions classified in this section.

Section B: Case Study Questions

No questions classified in this section.

MGT401.2 Effective Management

Section A: Short Questions

Year	#	Question		Mark(s)
2025	2(b)	Information:	The manager of a sportswear retail shop is going to formulate marketing mix strategies. He will consider the psychological factors of the customers and adopt the management principle of 'unity of direction'.	4
		Requirement:	Define 'unity of direction'. Explain one advantage for a firm of adopting this management principle.	

Section C: Essay Questions

No questions classified in this section.

Section B: Case Study Questions

No questions classified in this section.

MGT402 Key Business Functions

Section A: Short Questions

Year	#	Question	Mark(s)
2025	4	With reference to the functions of operations management, explain two ways the information management department of a toy manufacturer can support the operations department.	4

Section C: Essay Questions

No questions classified in this section.

Section B: Case Study Questions

Year	#	Question	Mark(s)
2021	5(e)(ii)	From the perspective of key business functions, explain two types of non-financial factors that Sara Company should consider when setting up the e-shop.	4

MGT403 Small and Medium Enterprises (SMEs)

Section A: Short Questions

No questions classified in this section.

Section C: Essay Questions

No questions classified in this section.

Section B: Case Study Questions

Year	#	Question	Mark(s)
2025	6(a)	With reference to the definition of small and medium enterprises (SMEs), explain why Emily Limited is an SME.	2

FIN501 Financial Analysis

Section A: Short Questions

Year	#	Question		Mark(s)
2016	1	Outline two limitations of using accounting ratios to assess the performance of a company.		4
2018	4(a)	Information:	A firm’s credit sales and cash sales for the year 2017 amounted to \$350 000 and \$250 000 respectively. Its average trade receivables for the year 2017 were \$123 500. The trade receivables turnover of other firms in the same industry is around 5 times a year.	2
		Requirement:	Calculate the trade receivables turnover (to 2 decimal places) of the firm for the year 2017.	
2019	4(a)(i)	Information:	A firm calculated its cost of goods sold for 2018 as follows: Opening inventory25 000 Add: Purchases360 000 385 000 Less: Closing inventory50 000 Cost of goods sold335 000	2
		Requirement:	Calculate the inventory turnover (in times, to two decimal places) of the firm for 2018.	
2020	2(a)	What does the gearing ratio measure?		2
2020	4(a)(i)	Information:	To determine a new market position, a fashion chain plans to develop a new product line. The initial cost of the development project is \$540 000 and it is expected to bring net cash flows of \$250 000, \$200 000, and \$150 000 at the end of the next three years respectively.	2
		Requirement:	Calculate the payback period of the development project (to one decimal place).	
2022	4(a)(i)	Information:	The financial data of a limited company as at 31 December 2021 is shown below: Non-current assets3 300 000 Current liabilities150 000 Non-current liabilities1 900 000 Shareholders’ funds1 730 000	2
		Requirement:	Calculate the gearing ratio (to two decimal places) as at 31 December 2021.	
2022	4(b)	Information:	The financial data of a limited company as at 31 December 2021 is shown below: Non-current assets3 300 000 Current liabilities150 000 Non-current liabilities1 900 000 Shareholders’ funds1 730 000	2
		Requirement:	Outline one limitation of using financial analysis.	
2023	4(b)(i)	Information:	The financial information related to a firm for 2022 is as follows: Total purchases1 500 000 Cash purchases1 180 000 Average trade payables for 2022280 000	2
		Requirement:	Calculate the trade payables turnover (to two decimal places) for 2022.	

2025	5(a)(i)	Information:	The financial information of a trading firm for the year ended 31 December 2024 is as follows: <table><tr><td></td><td>\$</td></tr><tr><td>Cash sales</td><td>450 000</td></tr><tr><td>Credit sales</td><td>800 000</td></tr><tr><td>Returns inwards from credit customers</td><td>180 000</td></tr><tr><td>Cost of goods sold</td><td>369 000</td></tr><tr><td>Average trade receivables for 2024</td><td>242 500</td></tr></table> Calculate (to two decimal places) the following ratios for 2024:		\$	Cash sales	450 000	Credit sales	800 000	Returns inwards from credit customers	180 000	Cost of goods sold	369 000	Average trade receivables for 2024	242 500	3
			\$													
Cash sales	450 000															
Credit sales	800 000															
Returns inwards from credit customers	180 000															
Cost of goods sold	369 000															
Average trade receivables for 2024	242 500															
Requirement:	gross profit ratio															
2025	5(a)(ii)	Information:	The financial information of a trading firm for the year ended 31 December 2024 is as follows: <table><tr><td></td><td>\$</td></tr><tr><td>Cash sales</td><td>450 000</td></tr><tr><td>Credit sales</td><td>800 000</td></tr><tr><td>Returns inwards from credit customers</td><td>180 000</td></tr><tr><td>Cost of goods sold</td><td>369 000</td></tr><tr><td>Average trade receivables for 2024</td><td>242 500</td></tr></table> Calculate (to two decimal places) the following ratios for 2024:		\$	Cash sales	450 000	Credit sales	800 000	Returns inwards from credit customers	180 000	Cost of goods sold	369 000	Average trade receivables for 2024	242 500	2
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Cost of goods sold	369 000															
Average trade receivables for 2024	242 500															
Requirement:	trade receivables turnover															
2018	4(b)	Information:	A firm’s credit sales and cash sales for the year 2017 amounted to \$350 000 and \$250 000 respectively. Its average trade receivables for the year 2017 were \$123 500. The trade receivables turnover of other firms in the same industry is around 5 times a year.	4												
		Requirement:	With reference to your answer to (a) above, comment on any two elements of the credit policy of the firm.													
2019	4(b)	Information:	A firm calculated its cost of goods sold for 2018 as follows: Opening inventory: \$25 000 Add: Purchases: \$360 000 Total: \$385 000 Less: Closing inventory: \$50 000 Cost of goods sold: \$335 000	2												
		Requirement:	To increase the inventory turnover, the firm decided to pay salary according to performance. Suggest one form of performance-based pay that the firm could introduce.													
2025	5(b)	Information:	A consultant pointed out that the firm's trade receivables turnover is far below the industry average and hence the firm should adjust the credit policy to improve the situation.	6												
		Requirement:	With reference to three elements of credit policy, suggest one way for each element to improve the trade receivables turnover of the firm.													

Section C: Essay Questions

Year	#	Question		Mark(s)
2013	9(a)	Information:	A retail chain uses accounting ratios and budget variance analysis to evaluate its performance.	12
		Requirement:	Illustrate with examples what aspects of the retail chain's performance could be evaluated by accounting ratios.	
2017	7(a)	Information:	An airline company is considering enhancing the fringe benefits of its employees. In order to investigate the financial affordability of this measure, the company uses accounting ratios to evaluate its performance.	8

		Requirement:	Describe the aspects of the airline company's performance that could be evaluated using accounting ratios.	
2024	7(b)	Information:	A watch manufacturer serves both the reseller market and the consumer market in Hong Kong. At the end of the financial year, the company uses financial analysis to assess its performance in working capital management.	10
		Requirement:	Illustrate how accounting ratios can be used for assessing the performance in working capital management of the company.	

Section B: Case Study Questions

Year	#	Question	Mark(s)
2015	7(a)(i)	Calculate the total assets turnover of Sunlight Fitness for 2013 and 2014.	2
2015	7(a)(ii)	Give one reason for the change in total assets turnover in (i) above.	2
2019	5(b)(i)	Give two reasons why Fortune Cinema should not borrow further from banks.	4
2020	6(a)	Calculate the trade payables turnover (in times, to two decimal places) of Sum Kee for 2019.	2
2020	6(b)	With reference to any three components of working capital, suggest one way for each component to improve the cash position of Sum Kee.	6
2021	6(a)(i)	Calculate the total assets turnover (to two decimal places) for 2020.	2
2021	6(a)(ii)	Why would the total assets turnover for 2021 probably drop?	2
2023	6(d)	Calculate the inventory turnover (to two decimal places) of Foodie for 2022.	2
2025	6(b)	Which accounting ratio was cited by the Finance Manager? What does the ratio measure?	2
2023	6(e)(ii)	Explain how the drop in the inventory turnover would affect the cash conversion cycle of Foodie.	2

FIN502 Budgeting

Section A: Short Questions

Year	#	Question		Mark(s)
2015	1	Describe three limitations of using budgetary control to assess the performance of a sales department.		6
2016	5(a)	Budgeting is an important financial function in a company. Explain two purposes of budgeting.		4
2016	5(b)	List two causes of a favourable sales variance.		2
2021	4(b)	Information:	A firm sells high-end cameras which are limited in quantity. Its target customer group is professional photographers. Recently, the firm has experienced an unfavourable sales-volume variance.	4
		Requirement:	Explain two possible causes of the above sales-volume variance.	
2023	4(a)	Explain one purpose of budgeting for a business.		2
2024	3(b)	Information:	A dessert shop is experiencing an unfavourable sales-volume variance. The shop owner is considering collecting primary data about customers' preferences using sampling techniques to deal with the variance.	4
		Requirement:	Suggest two remedial actions to deal with the unfavourable sales-volume variance of the dessert shop.	
2012	4	With reference to any three management functions, explain how budgeting is useful to the management of a company.		6

Section C: Essay Questions

Year	#	Question		Mark(s)
2013	9(b)	Information:	A retail chain uses accounting ratios and budget variance analysis to evaluate its performance.	8
		Requirement:	Explain the possible causes of budget variance in the retail chain.	
2020	7(b)	Information:	A company is producing and selling toys which are currently in the maturity stage of the product life cycle. The operations manager found that both the material variance and labour variance of last quarter were unfavourable.	10
		Requirement:	Suggest ways to deal with the unfavourable material variance and labour variance.	

Section B: Case Study Questions

Year	#	Question	Mark(s)
2018	5(b)	Describe two limitations of using budgetary control for the food truck business.	4
2019	6(b)(i)	What is an 'unfavourable sales-volume variance'?	1
2022	5(d)	Explain two possible causes for the unfavourable material variances of Sun Kee.	4

FIN503 Sources of Financing

Section A: Short Questions

Year	#	Question		Mark(s)										
2020	2(b)	Explain two advantages of using equity financing over debt financing.		4										
2022	4(a)(ii)	Information:	The financial data of a limited company as at 31 December 2021 is shown below: <table><tr><td></td><td style="text-align: right;">\$</td></tr><tr><td>Non-current assets</td><td style="text-align: right;">3 300 000</td></tr><tr><td>Current liabilities</td><td style="text-align: right;">150 000</td></tr><tr><td>Non-current liabilities</td><td style="text-align: right;">1 900 000</td></tr><tr><td>Shareholders' funds</td><td style="text-align: right;">1 730 000</td></tr></table>		\$	Non-current assets	3 300 000	Current liabilities	150 000	Non-current liabilities	1 900 000	Shareholders' funds	1 730 000	2
			\$											
Non-current assets	3 300 000													
Current liabilities	150 000													
Non-current liabilities	1 900 000													
Shareholders' funds	1 730 000													
Requirement:	Suggest two financing methods which could reduce the gearing level of the company.													

Section C: Essay Questions

Year	#	Question		Mark(s)
2015	8(b)	Information:	In view of its promising prospects, a listed fashion retail chain is planning to expand its business and is considering using debt or equity financing,	12
		Requirement:	Explain the criteria that the retail chain could use to evaluate whether to use debt or equity financing,	
2022	8(b)	Information:	A hotel offers a variety of staycation packages to provide accommodation, dining and entertainment facilities to local customers. It is also planning for renovation and is looking for ways to finance the renovation project.	10
		Requirement:	Explain the factors to be considered by the hotel in selecting short-term or long-term financing for the renovation project.	
2023	8(b)	Information:	A Hong Kong listed home appliances manufacturer will start its retail business under a new brand name, and expand the production capacity of its factory. It will distribute its products through a large retail chain. The company is also considering raising funds for the expansion either by debt financing or equity financing.	12
		Requirement:	Explain the factors that the manufacturer should consider when choosing debt financing or equity financing to raise funds.	

Section B: Case Study Questions

Year	#	Question	Mark(s)
2012	7(e)	Suggest three sources of funds for the above takeover. Give a reason for each of your suggestions.	6
2013	7(d)	List three sources of capital for raising \$100 million to finance the setting up of the organic food restaurants.	3
2014	7(c)	What are the problems if Petal Airways finances the purchase of planes for the budget airline with a short-term loan? Describe two of them.	4
2017	5(a)	List three types of methods that Marco could use to finance his five-year expansion plan. Give one disadvantage of each of them.	6
2019	5(b)(ii)	If Fortune Cinema finds funding from the existing and new shareholders, which source of long-term financing is this? Explain two disadvantages of using this source of financing.	5
2021	6(b)	Give two reasons to support Peter's suggestion of sourcing the funds in ways other than taking out a 1-year bank loan.	4
2024	5(b)	Apart from capital injection by existing shareholders, suggest one internal and one external financing method that the language learning centre could use for building the AI learning platform.	4
2025	6(d)	Compared with taking out a long-term bank loan, explain two disadvantages for Emily Limited of sourcing funds from new shareholders.	4
2019	5(b)(i)	Give two reasons why Fortune Cinema should not borrow further from banks.	4
2025	6(b)	Which accounting ratio was cited by the Finance Manager? What does the ratio measure?	2

FIN504 Capital Investment Appraisal

Section A: Short Questions

Year	#	Question		Mark(s)
2020	4(a)(ii)	Information:	To determine a new market position, a fashion chain plans to develop a new product line. The initial cost of the development project is \$540 000 and it is expected to bring net cash flows of \$250 000, \$200 000, and \$150 000 at the end of the next three years respectively.	2
		Requirement:	Other than the payback method, explain one capital investment appraisal method that also uses net cash flows for the evaluation of projects.	

Section C: Essay Questions

Year	#	Question		Mark(s)
2012	8(b)	Information:	Training front-line staff is important to banks.	10
		Requirement:	A large bank is considering buying an expensive computer system to be used for training its front-line staff. Assume the Net Present Value (NPV) method is used to evaluate the purchase of the computer training system, identify the variables of the NPV formula and illustrate the meaning of each with an example.	
2014	8(b)	Information:	The retail industry in Hong Kong has been facing many challenges, including a shortage of salespersons and rising rentals.	10
		Requirement:	The jewellery retail chain is going to open a new shop. It is considering whether to buy or rent the shop premises. Describe the various capital investment appraisal methods that can be used to evaluate this decision.	
2019	8(b)	Information:	A newly-established company manufacturing and selling furniture is considering which market segment should be targeted. It is also evaluating several investment projects using different capital investment appraisal methods.	10
		Requirement:	Analyse the limitations of different capital investment appraisal methods.	

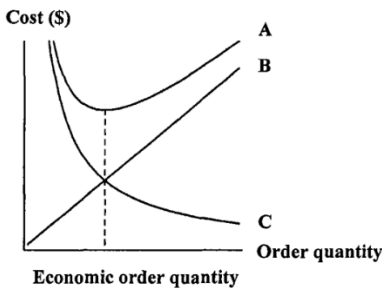
Section B: Case Study Questions

Year	#	Question	Mark(s)
2013	8(d)(i)	Calculate the payback period of the on-line shopping project.	1
2013	8(d)(ii)	Give two reasons why it is not appropriate to use the payback period method to evaluate the on-line shopping project.	4
2013	8(e)(i)	Based on Raymond's estimates of the cash flows for the on-line shopping project, and assuming a discount rate of 8% per annum, calculate the net present value of the project (to the nearest dollar). Show your workings.	2
2013	8(e)(ii)	According to your calculation in (e) (i), explain whether the project should be adopted.	2
2016	6(c)	Give two reasons for using the Net Present Value method instead of the Payback method to evaluate the online shopping project.	4
2017	6(c)(i)	Information: Based on Simon's financial estimates,	2
		Requirement: calculate the payback period of the robotic system (round to 2 decimal places).	
2017	6(c)(ii)	Information: Based on Simon's financial estimates,	2
		Requirement: calculate the net present value of the robotic system (round to an integer).	
2017	6(d)	Based on the net present value calculated in (c)(ii) above, explain whether the robotic system project should be accepted.	2
2017	6(e)	Other than the payback period method and the net present value method, suggest and explain one other capital investment appraisal method for evaluating the robotic system project.	2
2018	6(c)	Based on the accounting rate of return and the net present value of the robotic arms project, should Sun Fung Company accept the project? Justify your answer with one reason.	3
2018	6(d)	Explain two non-financial factors that would support the installation of the robotic arms.	4
2019	5(a)	Assuming the company's cost of capital is 6%, explain whether Fortune Cinema should adopt the renovation project, based on the internal rate of return method.	2
2022	6(e)	Explain two limitations for Helen Fashion of using the payback method only in appraising the investment project.	4
2023	5(a)	Apart from the reason mentioned by Tracy, give one other reason why Tsuen Kee should use the net present value method instead of the accounting rate of return method to evaluate the expansion project.	2
2024	5(a)	Calculate the payback period of the AI learning platform project (to one decimal place).	2
2025	7(a)(i)	If the cost of capital is 10% per annum, calculate the net present value (to the nearest dollar) of the cook-chill technology investment project.	2
2025	7(a)(ii)	Based on net present value, should Dragon Box accept the investment project? Justify your answer with one reason.	1
2025	7(b)(i)	State the capital investment appraisal method that uses profit for the evaluation of the investment project.	1
2025	7(b)(ii)	List two limitations of using the capital investment appraisal method in (b)(i).	2
2021	5(e)(i)	If the cost of capital is 8% per annum, calculate the net present value (to the nearest dollar) of the e-shop project.	2

FIN505 Working Capital Management

Section A: Short Questions

Year	#	Question		Mark(s)
2014	2(a)	With a diagram, show how the Economic Order Quantity of a product is determined.		2
2014	2(b)	Information:	The following data relate to a product: Annual demand: 7 200 units; Lead time: 8 days Assuming there are 360 days in a year and no safety stock is kept, calculate the re-order level of the product. Show your calculations.	2
		Requirement:	The following data relate to a product: Annual demand: 7 200 units; Lead time: 8 days Assuming there are 360 days in a year and no safety stock is kept, calculate the re-order level of the product. Show your calculations.	
2017	2	Explain any three components of the '5Cs' of the credit standard that a bank considers when deciding whether to grant credit to a borrower.		6
2018	4(b)	Information:	A firm's credit sales and cash sales for the year 2017 amounted to \$350 000 and \$250 000 respectively. Its average trade receivables for the year 2017 were \$123 500. The trade receivables turnover of other firms in the same industry is around 5 times a year.	4
		Requirement:	With reference to your answer to (a) above, comment on any two elements of the credit policy of the firm.	
2019	4(a)(ii)	Information:	A firm calculated its cost of goods sold for 2018 as follows: \$ Opening inventory 25 000 Add: Purchases 360 000 385 000 Less: Closing inventory 50 000 335 000	2
		Requirement:	Explain the main objective of inventory management.	
2021	2(a)	Information:	An ice cream manufacturer uses 1 200 cartons of milk each month. The average holding cost per carton of milk is \$25 per month and the ordering cost is \$600 per order.	2
		Requirement:	Calculate the Economic Order Quantity of milk.	
2021	2(b)	Information:	An ice cream manufacturer uses 1 200 cartons of milk each month. The average holding cost per carton of milk is \$25 per month and the ordering cost is \$600 per order.	4
		Requirement:	Apart from the daily usage, explain two other variables involved in the determination of the re-order level of milk.	
2023	4(b)(ii)	Information:	The financial information related to a firm for 2022 is as follows: \$ Total purchases 1 500 000 Cash purchases 1 180 000 Average trade payables for 2022 280 000	2
		Requirement:	The trade payables turnover of the firm for 2021 was 6 times, which was the same as the industry average of 2021 and 2022. Comment on the firm's performance in managing its trade payables in 2022.	

2024	1(a)	Information:	A bookstore adopts the Economic Order Quantity model to manage its inventory. It takes out insurance to deal with fire risk of the warehouse. 	3
		Requirement:	What does line B in the diagram above represent? Explain why line B is upward sloping.	
2025	5(b)	Information:	A consultant pointed out that the firm's trade receivables turnover is far below the industry average and hence the firm should adjust the credit policy to improve the situation.	6
		Requirement:	With reference to three elements of credit policy, suggest one way for each element to improve the trade receivables turnover of the firm.	

Section C: Essay Questions

Year	#	Question		Mark(s)
2018	7(a)	Information:	A newly-established company selling bicycles is considering using the Economic Order Quantity model to find the optimal order quantity of bicycles in order to minimise the total inventory cost. It also plans to distribute the bicycles to its customers through middlemen.	8
		Requirement:	Describe the cost components for determining the Economic Order Quantity of bicycles and explain how the total inventory cost can arrive at its minimum under this model.	
2021	8(b)	Information:	Starry Company sells audio-visual equipment locally through its own website and mobile application. Because of increasing popularity of its products, the company is considering establishing its own physical stores or expanding the sales channels to include a large electrical appliances retail chain in Hong Kong. It is going to apply for a long-term bank loan for the business expansion.	8
		Requirement:	What should the bank consider when assessing the credit standard of Starry Company before approving the loan?	
2024	7(b)	Information:	A watch manufacturer serves both the reseller market and the consumer market in Hong Kong. At the end of the financial year, the company uses financial analysis to assess its performance in working capital management.	10
		Requirement:	Illustrate how accounting ratios can be used for assessing the performance in working capital management of the company.	

Section B: Case Study Questions

Year	#	Question	Mark(s)
2012	6(a)(i)	Explain how the use of the EOQ model can reduce inventory cost.	3
2012	6(a)(ii)	Using the EOQ model, calculate the optimal order quantity of oysters (in dozens) for Platine, show your workings.	2
2012	7(d)	List any two elements of credit policies. Suggest one way in which Skyline Airways can use each of these two elements to reduce the delays in payment by travel agencies.	4
2014	6(d)	From the perspective of working capital management, suggest two ways in which Grassland can improve its cash flows.	4
2015	6(a)	With reference to any two elements of credit policy, explain how Lucky can tighten its credit to retailers.	4
2016	6(a)(i)	Using the Economic Order Quantity model, calculate the optimal order quantity of beverages (in boxes) for Ming Kee. Show your workings.	2
2016	6(a)(ii)	Based on the optimal order quantity calculated in (a) (i), state which inventory cost component contributes to the reduction in total inventory cost. Explain why.	2
2016	6(b)	From the perspective of cash management, suggest two ways to cope with Ming Kee's liquidity problem.	4
2018	5(a)(i)	Describe the operating cycle of the food truck business.	2
2018	5(a)(ii)	Give one reason why the cash conversion cycle of the food truck business is relatively short.	2
2020	5(d)	Annual demand is a factor affecting the re-order level of coffee beans. Give one other factor and explain how it would affect the re-order level.	2
2022	6(a)	From the perspective of inventory management, state two costs that Helen Fashion will incur for keeping excessive inventory.	2
2023	5(b)	With reference to the '5Cs' of the credit standard, explain two factors that should be considered by a bank when deciding whether to grant credit to Tsuen Kee.	4
2023	6(e)(i)	Describe the cash conversion cycle of Foodie.	3
2023	6(e)(ii)	Explain how the drop in the inventory turnover would affect the cash conversion cycle of Foodie.	2
2024	6(a)	Calculate the re-order level of the new model smartphone.	2
2024	6(d)(i)	Describe the operating cycle of Lucky Company.	2
2024	6(d)(ii)	State one possible reason for the long operating cycle of Lucky Company. Give one piece of evidence from the case to support your answer.	2

FIN506 Risk Management

Section A: Short Questions

Year	#	Question		Mark(s)
2014	1	Explain two types of insurance that a restaurant should take out.		4
2015	2	Explain two risk management strategies a convenience store could adopt to deal with shoplifting.		4
2017	1(a)	Define pure risk and speculative risk.		2
2017	1(b)	Briefly explain two types of liability insurance a theme park should take out.		4
2018	1	Explain three types of risk management strategy that a shipping company may use to deal with the risk of pirate attacks and kidnapping.		6
2019	3(a)	Information:	In view of keen competition, a food delivery company wants to insure against the risk of operating losses. However, an insurance agent advises that this risk is non-insurable.	4
		Requirement:	Give two reasons why the above risk is non-insurable.	
2019	3(b)	Information:	In view of keen competition, a food delivery company wants to insure against the risk of operating losses. However, an insurance agent advises that this risk is non-insurable.	2
		Requirement:	Explain one type of insurance that the company should take out to cover the risks faced by its employees.	
2021	1	Explain three objectives for an insurance company to conduct performance appraisal for its insurance agents.		6
2022	2(a)	Give two examples of pure risk for operating a watch shop.		2
2022	2(b)	Apart from risk avoidance, suggest two risk management strategies that could be adopted by a watch shop to deal with the speculative risk brought about by expanding to an overseas market.		4
2024	1(b)(i)	Information:	A bookstore adopts the Economic Order Quantity model to manage its inventory. It takes out insurance to deal with fire risk of the warehouse.	1
		Requirement:	State the risk management strategy adopted by the bookstore.	
2024	1(b)(ii)	Information:	A bookstore adopts the Economic Order Quantity model to manage its inventory. It takes out insurance to deal with fire risk of the warehouse.	2
		Requirement:	List two reasons why fire risk is insurable.	

Section C: Essay Questions

Year	#	Question		Mark(s)
2025	8(a)	Information:	A high-class Italian restaurant plans to introduce live band performances to attract customers. To better understand customers' acceptance and preferences, the restaurant is going to conduct marketing research.	9
		Requirement:	Suggest the risk management strategies that could be adopted by the restaurant to deal with the risks of introducing live band performances.	

Section B: Case Study Questions

Year	#	Question	Mark(s)
2012	6(b)	Briefly describe two ways to hedge against the Euro exchange rate risk.	4
2012	7(c)	Give three reasons why the risk of economic fluctuation faced by Skyline Airways is uninsurable.	6
2013	7(a)	Suggest two risk management strategies for handling the risk of food poisoning faced by Yummy Group.	4
2014	7(d)	With reference to any two types of macro-environmental factors, explain why the risk to the airline business is higher than many other industries.	4
2016	7(d)(i)	Give a reason why the risk of frequent damage to dishware is non-insurable.	2
2016	7(d)(ii)	Suggest two risk management strategies Centralwash could adopt to deal with the risk in (d)(i) above.	4
2020	5(a)	Suggest two types of risk management strategies Happy Café could use to deal with the risk of the operating losses mentioned by Francis.	4
2021	5(c)	Explain one type of insurance Sara Company should take out to deal with the risks mentioned by the Chief Executive Officer.	2

MKT601 Role of Marketing

Section A: Short Questions

No questions classified in this section.

Section C: Essay Questions

Year	#	Question		Mark(s)
2017	8(a)	Information:	The marketing manager of a fashion chain is going to formulate a marketing plan. The buying behaviour of the customers is his major concern.	8
		Requirement:	Describe the steps in formulating a marketing plan for the fashion chain.	

Section B: Case Study Questions

Year	#	Question	Mark(s)
2012	6(c)	Use the case of Platine to illustrate the meaning of marketing concept.	3
2018	5(c)(i)	Explain what 'marketing concept' means.	2
2018	5(c)(ii)	Explain with an example how the marketing concept could be applied to the food truck business.	2
2022	5(a)	From the perspective of the marketing concept, explain how marketing research could help improve the customers' acceptance of Sun Kee's rice noodles.	2

MKT602 Marketing Research

Section A: Short Questions

Year	#	Question		Mark(s)
2014	4	Briefly describe three sampling techniques that can be used in marketing research.		6
2019	2(a)	Information:	A restaurant is going to conduct marketing research on customers' opinions about its food quality. In addition to collecting secondary data for the research, it plans to collect primary data by random sampling.	2
		Requirement:	Differentiate between primary and secondary data.	
2019	2(b)	Information:	A restaurant is going to conduct marketing research on customers' opinions about its food quality. In addition to collecting secondary data for the research, it plans to collect primary data by random sampling.	4
		Requirement:	Apart from the sampling technique mentioned above, give two other sampling techniques and explain how the restaurant could use each of them to collect primary data.	
2024	3(a)	Information:	A dessert shop is experiencing an unfavourable sales-volume variance. The shop owner is considering collecting primary data about customers' preferences using sampling techniques to deal with the variance.	2
		Requirement:	Other than random sampling, describe one sampling technique that the dessert shop could use to collect primary data.	

Section C: Essay Questions

Year	#	Question		Mark(s)
2018	8(a)	Information:	A language learning centre is planning to conduct a marketing research in order to gather information on the preferences and needs of its potential customers. A performance appraisal system on the course instructors will also be set up in order to ensure the quality of teaching.	8
		Requirement:	Describe the data collection methods which can be used by the language learning centre to gather information on the preferences and needs of its potential customers.	
2025	8(b)	Information:	A high-class Italian restaurant plans to introduce live band performances to attract customers. To better understand customers' acceptance and preferences, the restaurant is going to conduct marketing research.	9
		Requirement:	Illustrate with examples the data collection methods the restaurant can use to understand customers' acceptance of and preferences regarding live band performances.	

Section B: Case Study Questions

Year	#	Question	Mark(s)
2013	7(b)	Give three types of data collection method that Miss Ma can use in conducting the market research. Explain each with an example.	6
2016	7(a)(i)	What is secondary data?	1
2016	7(a)(ii)	Give two limitations of using secondary data to help Centralwash understand the needs of its customers.	2
2017	6(b)	Outline two limitations of sending questionnaires to all customers in the membership scheme to explore whether customers generally accept robot service.	4
2020	6(c)	Give two types of data collection methods and explain how Sum Kee could use each of them to gather information from retailers.	4
2021	5(a)(i)	Illustrate how Sara Company could use stratified random sampling to collect data.	2
2021	5(a)(ii)	Other than stratified random sampling, suggest one other sampling technique that Sara Company could use to collect data.	2
2023	6(b)	Describe how Foodie could adopt the data collection method suggested by Minnie to gather information on customers' preferences. State two limitations of adopting this method.	4
2022	5(a)	From the perspective of the marketing concept, explain how marketing research could help improve the customers' acceptance of Sun Kee's rice noodles.	2

MKT603 Consumer Behaviour

Section A: Short Questions

Year	#	Question		Mark(s)
2025	2(a)	Information:	The manager of a sportswear retail shop is going to formulate marketing mix strategies. He will consider the psychological factors of the customers and adopt the management principle of 'unity of direction'.	4
		Requirement:	Explain two psychological factors which may affect the buying decisions of the customers of the sportswear retail shop.	

Section C: Essay Questions

Year	#	Question		Mark(s)
2014	9(a)	Information:	The market for beauty and skin care services in Hong Kong is expanding but there are also a lot of customer complaints. Consumers are becoming more careful when buying beauty and skin care services. Beauty centres have to pay more attention to the rights of consumers.	10
		Requirement:	Using the purchase of beauty and skin care services as an example, describe the steps in the consumer buying decision process.	
2016	9(b)	Information:	A smartphone manufacturer has developed a new mobile phone model and is considering setting a price for the new mobile phone. It is also planning to analyse the purchase decision-making process of its customers in order to launch the product successfully.	12
		Requirement:	With reference to the purchase decision-making process, explain the steps customers would go through for the purchase of a new mobile phone.	
2017	8(b)	Information:	The marketing manager of a fashion chain is going to formulate a marketing plan. The buying behaviour of the customers is his major concern.	12
		Requirement:	Illustrate with examples the socio-cultural factors and psychological factors affecting the buying decisions of the fashion chain's customers.	
2019	7(a)	Information:	A company selling computer hardware and software to the business market is going to expand to the consumer market and is externally recruiting a large number of salespersons through different channels.	10
		Requirement:	Illustrate the differences between the business market and the consumer market for this company.	
2022	7(b)	Information:	A bus company provides regular training for its employees. Recently, it has been considering buying a new model of double-decker buses to replace the existing ones.	10
		Requirement:	Describe the steps in the decision-making process the bus company should carry out for purchasing the new model of double-decker buses.	
2024	7(a)	Information:	A watch manufacturer serves both the reseller market and the consumer market in Hong Kong. At the end of the financial year, the company uses financial analysis to assess its performance in working capital management.	10
		Requirement:	Explain the differences between the reseller market and the consumer market for this company.	

Section B: Case Study Questions

Year	#	Question	Mark(s)
2012	6(d)	With reference to the customer decision-making process, outline the steps Platine's customers should take before they make their purchase decisions.	6
2014	7(a)	Using the budget airline market as an example, explain three differences in buying behaviour between the consumer market and the business market.	6
2020	5(b)	Explain two psychological factors affecting the buying decisions of the customers of Happy Café.	4
2023	5(c)	Explain two socio-cultural factors affecting the buying decisions of Tsuen Kee's customers.	4

MKT604 Segmentation, Targeting and Positioning

Section A: Short Questions

Year	#	Question		Mark(s)
2020	1	Suggest three bases of market segmentation for a newly-established cake shop.		6
2020	4(b)	Information:	To determine a new market position, a fashion chain plans to develop a new product line. The initial cost of the development project is \$540 000 and it is expected to bring net cash flows of \$250 000, \$200 000, and \$150 000 at the end of the next three years respectively.	2
		Requirement:	What is meant by 'market positioning'?	
2021	4(a)	Information:	A firm sells high-end cameras which are limited in quantity. Its target customer group is professional photographers. Recently, the firm has experienced an unfavourable sales-volume variance.	2
		Requirement:	Which type of target marketing strategy is the firm adopting? State one disadvantage of adopting this strategy.	
2023	2(a)	Explain the meaning of 'market positioning' for a newly-established airline company.		2
2023	3(a)	Apart from setting competitive prices, suggest two competitive advantages that a fitness centre could create for the business.		4

Section C: Essay Questions

Year	#	Question		Mark(s)
2012	9(a)	Information:	Tourism is one of the major industries in Hong Kong. As the number of visitors from the Mainland increases and the industry outlook for the hotel sector becomes more positive, new hotels are going to be set up.	8
		Requirement:	Suggest the bases of market segmentation for a new hotel.	
2015	9(a)	Information:	The banquet service is one of the main sources of income for hotels in Hong Kong. Customers usually hold banquets in hotels for weddings or birthdays,	10
		Requirement:	Illustrate with examples the bases of market segmentation that can be used by a hotel in Hong Kong for its banquet service.	
2015	9(b)	Information:	The banquet service is one of the main sources of income for hotels in Hong Kong. Customers usually hold banquets in hotels for weddings or birthdays,	10
		Requirement:	Explain the factors to be considered by a hotel when determining the target market for the banquet service.	
2019	8(a)	Information:	A newly-established company manufacturing and selling furniture is considering which market segment should be targeted. It is also evaluating several investment projects using different capital investment appraisal methods.	10
		Requirement:	Explain the factors to be considered by this company when determining which market segment should be targeted.	
2022	8(a)	Information:	A hotel offers a variety of staycation packages to provide accommodation, dining and entertainment facilities to local customers. It is also planning for renovation and is looking for ways to finance the renovation project.	10
		Requirement:	With reference to the market segmentation bases, explain how the hotel could segment the staycation market.	

Section B: Case Study Questions

Year	#	Question	Mark(s)
2013	7(c)	With reference to the criteria for evaluating a market segment, explain why the middle-class is an effective market segment for organic food restaurants.	6
2018	5(d)	As suggested by Martin, explain three other bases of market segmentation that Robin could use.	6
2022	6(d)	Suggest two factors Helen Fashion should consider when determining whether to expand the target market to online shoppers.	4
2024	5(c)	Which type of target marketing strategy is adopted by the language learning centre? Give one piece of evidence from the case to support your answer.	2
2025	7(c)	Explain two factors Dragon Box should consider when determining whether professionals is an attractive market segment.	4

MKT605 Marketing Mix

Section A: Short Questions

Year	#	Question		Mark(s)
2014	5	Describe two differences between the skimming pricing strategy and the penetration pricing strategy when launching a new product.		4
2016	3	Explain three benefits to a company of adopting a direct distribution channel for its products.		6
2017	4	With reference to any three elements of the marketing mix, suggest one way in which each can be used to market a product in the decline stage of the product life cycle.		6
2018	2	Suggest three product strategies that a travel agency could adopt to attract customers.		6
2021	3(a)	Explain the meaning of 'personal selling' in a marketing mix strategy.		2
2021	3(b)	Describe two advantages to a computer company of using personal selling to sell its software.		4
2022	1(b)	Other than public relations, explain two elements of the promotion mix which could be adopted in the introduction stage of a product.		4
2023	3(b)	Which element of the promotion mix is used by the fitness centre if it provides free trial lessons to the target customers? State one objective for using this element.		2
2024	2(b)	Information:	Recently, a company which sells health supplements has launched a brand-new unique product to the market. This product has been developed for three years using a special technology at a high cost. The company adopts a skimming pricing strategy for this product.	4
		Requirement:	Give two reasons why the company should adopt a skimming pricing strategy for the new product.	
2012	5	State three benefits to a bookstore of using e-marketing to perform its distribution function.		6

Section C: Essay Questions

Year	#	Question		Mark(s)
2016	9(a)	Information:	A smartphone manufacturer has developed a new mobile phone model and is considering setting a price for the new mobile phone. It is also planning to analyse the purchase decision-making process of its customers in order to launch the product successfully.	8
		Requirement:	Describe the factors to be considered by the smartphone manufacturer when setting the price for its new mobile phone.	
2018	7(b)	Information:	A newly-established company selling bicycles is considering using the Economic Order Quantity model to find the optimal order quantity of bicycles in order to minimise the total inventory cost. It also plans to distribute the bicycles to its customers through middlemen.	12
		Requirement:	Explain the factors that the company should consider when deciding whether to distribute the bicycles to customers through middlemen.	
2020	7(a)	Information:	A company is producing and selling toys which are currently in the maturity stage of the product life cycle. The operations manager found that both the material variance and labour variance of last quarter were unfavourable.	10
		Requirement:	For the toys in the current stage of the product life cycle, propose appropriate marketing mix strategies for the company.	

2021	8(a)	Information:	Starry Company sells audio-visual equipment locally through its own website and mobile application. Because of increasing popularity of its products, the company is considering establishing its own physical stores or expanding the sales channels to include a large electrical appliances retail chain in Hong Kong. It is going to apply for a long-term bank loan for the business expansion.	12
		Requirement:	Explain the factors that Starry Company should consider when deciding whether to establish its own physical stores or expand the sales channels to include a large retail chain.	
2023	7(a)	Information:	Yummy Dining Group is a private limited company which operates over ten Chinese restaurants in Hong Kong. The group is reforming and planning to adjust the pricing strategies for its restaurants based on different marketing objectives. Moreover, it will introduce performance-based pay to motivate employees.	10
		Requirement:	Illustrate with examples the marketing objectives that this dining group could consider when adjusting the pricing strategies for its restaurants.	
2023	8(a)	Information:	A Hong Kong listed home appliances manufacturer will start its retail business under a new brand name, and expand the production capacity of its factory. It will distribute its products through a large retail chain. The company is also considering raising funds for the expansion either by debt financing or equity financing.	8
		Requirement:	Explain the advantages for the manufacturer of distributing home appliances through a large retail chain.	
2025	9(a)	Information:	An innovation and technology company is going to introduce several smart-home devices, such as smart lighting and smart security systems. It plans to recruit a manager to take charge of these artificial intelligence products through internal promotion.	9
		Requirement:	Formulate appropriate marketing mix strategies for the smart-home devices, and illustrate your answers with the characteristics of the introduction stage of the product life cycle.	

Section B: Case Study Questions

Year	#	Question	Mark(s)
2012	6(e)	Other than product, there are three other elements of the marketing mix. Suggest one way in which Platine can use each of these other elements to enhance its competitiveness.	6
2013	7(e)	With reference to any three elements of the promotion mix, suggest one way each to promote the organic food restaurants.	6
2014	6(a)	Apart from maintaining a good relationship with retailers, suggest two ways in which Grassland can encourage retailers to carry more of its products.	4
2015	6(b)	For any three elements of the promotion mix, suggest one way each for Lucky to stimulate the sales in its own retail stores.	6
2015	7(d)	Suggest a product strategy and a pricing strategy for the beauty centre. For each strategy, justify your suggestions with one characteristic of the growth stage of the product life cycle.	4
2019	5(d)(i)	State the type of pricing strategy suggested by Mary for the movie tickets.	1
2019	5(d)(ii)	Give one reason, other than the one given by Mary, to support the use of this pricing strategy.	2
2019	6(a)	Apart from the element of the promotion mix mentioned in the case, give two other elements of the mix and explain how Speedy Company could use each of the elements to boost its sales.	4
2019	6(b)(ii)	With reference to any two elements of the marketing mix other than promotion, suggest one remedial action for each to cope with the competition mentioned by Lucy.	4
2021	5(b)	State the pricing strategy of the new toy cars suggested by the Chief Executive Officer and explain the objective of adopting this strategy.	2
2022	5(c)	With reference to two elements of the marketing mix other than price and promotion, suggest one way for each element to boost Sun Kee's sales.	4
2023	5(d)	Suggest two product strategies for the flagship store to attract customers under keen competition.	4
2024	5(d)	With reference to the 'product' and 'place' of the marketing mix, explain one difference each between adopting traditional marketing strategies and e-marketing strategies for the language learning centre.	4
2024	6(c)	Other than the elements of the promotion mix adopted for the new model smartphone, explain two elements of the promotion mix to encourage customers to buy other electrical appliances in the retail shops.	4
2025	6(c)	Other than cost, explain two factors that Emily Limited should consider when deciding whether to set up its own retail stores or sales counters in department stores.	4

MKT606 Product Life Cycle and Services Marketing

Section A: Short Questions

Year	#	Question		Mark(s)
2012	5	State three benefits to a bookstore of using e-marketing to perform its distribution function.		6
2022	1(a)	State the marketing objective of the introduction stage of a product.		2
2024	2(a)	Information:	Recently, a company which sells health supplements has launched a brand-new unique product to the market. This product has been developed for three years using a special technology at a high cost. The company adopts a skimming pricing strategy for this product.	2
		Requirement:	State two characteristics of the introduction stage of the product life cycle.	
2025	3(c)	Information:	A dance school provides various kinds of on-the-job training and overseas exchange opportunities for its dance instructors to enhance their dance skills and teaching skills.	4
		Requirement:	With reference to service characteristics, suggest one way related to 'intangibility' and one way related to 'heterogeneity' to attract customers to the dance school.	

Section C: Essay Questions

Year	#	Question		Mark(s)
2013	10(a)	Information:	As its product reaches the growth stage of the product life cycle, a company considers expanding its business and recruiting more managers internally.	12
		Requirement:	Describe the characteristics of the growth stage of the product life cycle.	
2020	8(b)	Information:	The staff turnover rate of a hair salon has been quite high in recent months. Besides, a large number of complaints have been received from customers about a deterioration in service quality.	10
		Requirement:	With reference to the characteristics of service, propose ways to improve the service quality of the hair salon.	
2024	8(b)	Information:	Recently, a local bank has decided to close down some of its unprofitable branches. The General Manager is concerned about the maintenance of service quality after the closure of some branches.	10
		Requirement:	With reference to the service characteristics of 'perishability' and 'inseparability', propose ways for the bank to maintain the service quality after the closure of some branches.	
2020	7(a)	Information:	A company is producing and selling toys which are currently in the maturity stage of the product life cycle. The operations manager found that both the material variance and labour variance of last quarter were unfavourable.	10
		Requirement:	For the toys in the current stage of the product life cycle, propose appropriate marketing mix strategies for the company.	
2025	9(a)	Information:	An innovation and technology company is going to introduce several smart-home devices, such as smart lighting and smart security systems. It plans to recruit a manager to take charge of these artificial intelligence products through internal promotion.	9
		Requirement:	Formulate appropriate marketing mix strategies for the smart-home devices, and illustrate your answers with the characteristics of the introduction stage of the product life cycle.	

Section B: Case Study Questions

Year	#	Question	Mark(s)
2013	8(c)	With reference to two characteristics of service, give one reason each to explain why training can help Wing Hung to meet today's service standard.	4
2014	7(b)	Apart from lower cost, explain two benefits to the budget airline of adopting e-marketing strategies.	4
2015	7(b)	With reference to any three characteristics of service, explain how Sunlight Fitness can enhance the service quality of its fitness centres.	6
2016	6(d)	Suggest three non-financial problems that may arise if Ming Kee launches the online shopping project.	6
2016	7(b)	Give three pieces of evidence from the case to support Billy's view that the dishware cleaning and sanitising industry is at the maturity stage of the product life cycle.	3
2017	6(a)	With reference to any three characteristics of service, explain how King's Restaurant can solve the problems with its service quality.	6
2019	5(c)	Give two reasons why the electronic marketing system could increase sales in the cinemas.	4
2021	6(c)	Apart from reducing costs, explain two other benefits to Tasty Company if the e-marketing strategy suggested by Susan is adopted.	4
2023	6(a)	Identify the stage of the product life cycle of the frozen food industry. Give two pieces of evidence from the case to support your answer.	3
2022	6(c)	With reference to two characteristics of service, apart from 'intangibility', suggest one way each to enhance customer loyalty to Helen Fashion.	4

MKT607 Customer Relationship Marketing / CRM

Section A: Short Questions

Year	#	Question	Mark(s)
2013	3	From the perspective of customer relationship management, give two reasons why retaining existing customers is more important than attracting new customers.	4

Section C: Essay Questions

Year	#	Question		Mark(s)
2012	9(b)	Information:	Tourism is one of the major industries in Hong Kong. As the number of visitors from the Mainland increases and the industry outlook for the hotel sector becomes more positive, new hotels are going to be set up.	12
		Requirement:	Illustrate with examples to explain why customer relationship management (CRM) is important to a hotel.	
2021	7(b)	Information:	Sunshine Fitness operates many fitness centres in Hong Kong and hires a large number of trainers. In view of the recent economic downturn, the company is finding ways to deal with the surplus of trainers, and enhance its customer relationship management.	8
		Requirement:	Illustrate with examples how Sunshine Fitness could achieve the objectives of customer relationship management.	

Section B: Case Study Questions

Year	#	Question	Mark(s)
2017	5(c)	Give two reasons why customer relationship management could help increase sales to existing customers.	4
2020	5(c)	Suggest two ways for Happy Café to enhance customer loyalty.	4
2024	6(b)	Explain two factors that may affect the loyalty of the customers of Lucky Company.	4

HRM701 Human Resources Planning and Staffing

Section A: Short Questions

Year	#	Question	Mark(s)
2019	1	A bus company has started manpower planning and forecasted that its demand for bus drivers will increase. Describe the remaining three steps of this manpower planning process.	6
2022	3(a)	Explain the importance of manpower planning for an accounting firm.	2

Section C: Essay Questions

Year	#	Question	Mark(s)
2013	10(b)	Information: As its product reaches the growth stage of the product life cycle, a company considers expanding its business and recruiting more managers internally.	8
		Requirement: Explain the advantages to the company of recruiting managers internally.	
2014	8(a)	Information: The retail industry in Hong Kong has been facing many challenges, including a shortage of salespersons and rising rentals.	10
		Requirement: With reference to four human resources management functions, suggest ways in which a jewellery retail chain can cope with the shortage of salespersons.	
2015	8(a)	Information: In view of its promising prospects, a listed fashion retail chain is planning to expand its business and is considering using debt or equity financing,	8
		Requirement: Describe the manpower planning process which should be used for the expansion of the retail chain.	
2016	8(a)	Information: A fast food chain is going to set up a new branch and is considering hiring shop supervisor for the branch through internal recruitment. At the same time, in order to fulfil corporate social responsibility, the chain is planning to hire people with mild mental and physical disabilities for the branch.	8
		Requirement: Describe the advantages of hiring shop supervisor through internal recruitment.	
2016	8(b)	Information: A fast food chain is going to set up a new branch and is considering hiring shop supervisor for the branch through internal recruitment. At the same time, in order to fulfil corporate social responsibility, the chain is planning to hire people with mild mental and physical disabilities for the branch.	12
		Requirement: With reference to the functions of human resources management, suggest support measures that the chain could provide to employees with mild mental and physical disabilities.	
2019	7(b)	Information: A company selling computer hardware and software to the business market is going to expand to the consumer market and is externally recruiting a large number of salespersons through different channels.	10
		Requirement: Explain the advantages of different external recruitment channels.	
2021	7(a)	Information: Sunshine Fitness operates many fitness centres in Hong Kong and hires a large number of trainers. In view of the recent economic downturn, the company is finding ways to deal with the surplus of trainers, and enhance its customer relationship management.	12
		Requirement: With reference to human resources management functions, suggest ways in which Sunshine Fitness can deal with the surplus of trainers.	

2024	8(a)	Information:	Recently, a local bank has decided to close down some of its unprofitable branches. The General Manager is concerned about the maintenance of service quality after the closure of some branches.	10
		Requirement:	With reference to human resources management functions, suggest ways for the bank to deal with the problems arising from the closure of some branches.	
2025	9(b)	Information:	An innovation and technology company is going to introduce several smart-home devices, such as smart lighting and smart security systems. It plans to recruit a manager to take charge of these artificial intelligence products through internal promotion.	9
		Requirement:	Explain the advantages of recruiting the manager by internal promotion.	

Section B: Case Study Questions

Year	#	Question	Mark(s)
2015	7(c)	Explain two limitations of using interview as a means of choosing beauty consultants for the beauty centre.	4
2017	5(d)	Outline two limitations of appointing a customer relationship manager through internal promotion.	4
2021	6(d)	Explain two disadvantages of recruiting the senior manager externally instead of promotion-from-within.	4
2021	6(e)	Give one advantage of recruiting the senior manager via a headhunter.	2
2022	5(e)	With reference to the staffing function, explain what Alvin should do to hire the additional part-time employee.	4
2023	6(c)	Explain two action plans that should be taken by the Human Resources Department of Foodie after comparing the manpower demand and supply.	4
2024	5(e)	With reference to the staffing function, describe the recruitment and selection process of the information technology expert.	4
2025	7(d)	With reference to the manpower planning process, describe the next two steps that Dragon Box should take after estimating the demand for chefs.	4
2025	7(e)	Apart from the limitations of using interviews given by Ricky, explain one other limitation of interviews.	2

HRM702 Performance Appraisal

Section A: Short Questions

Year	#	Question	Mark(s)
2013	1	Briefly describe three uses of performance appraisal to a company.	6
2020	3	After conducting the performance appraisal for its salespersons, a shop selling sportswear decided to promote a junior salesperson to a senior post. Describe the steps in the performance appraisal process before making the promotion decision.	6
2024	4	A travel agency conducts performance appraisal for its tour guides and adjusts their salaries based on the results of the appraisal. Describe the steps in conducting performance appraisal before making the salary adjustments.	6

Section C: Essay Questions

Year	#	Question	Mark(s)
2018	8(b)	Information: A language learning centre is planning to conduct a marketing research in order to gather information on the preferences and needs of its potential customers. A performance appraisal system on the course instructors will also be set up in order to ensure the quality of teaching.	12
		Requirement: Illustrate the steps in conducting a performance appraisal for the course instructors.	

Section B: Case Study Questions

Year	#	Question	Mark(s)
2014	6(b)	Explain two performance appraisal methods that can be adopted by Grassland to assess the performance of the merchandisers.	4
2023	5(e)	Apart from the purpose mentioned by Martin, explain two other uses for Tsuen Kee to conduct a performance appraisal for its salespeople.	4

HRM703 Rewards and Benefits Management

Section A: Short Questions

Year	#	Question		Mark(s)												
2012	1	What is indirect compensation? State two purposes of providing indirect compensation to employees.		6												
2019	4(b)	Information:	A firm calculated its cost of goods sold for 2018 as follows: <table><tr><td></td><td>\$</td></tr><tr><td>Opening inventory</td><td>25 000</td></tr><tr><td>Add: Purchases</td><td><u>360 000</u></td></tr><tr><td></td><td>385 000</td></tr><tr><td>Less: Closing inventory</td><td><u>50 000</u></td></tr><tr><td>Cost of goods sold</td><td><u><u>335 000</u></u></td></tr></table>		\$	Opening inventory	25 000	Add: Purchases	<u>360 000</u>		385 000	Less: Closing inventory	<u>50 000</u>	Cost of goods sold	<u><u>335 000</u></u>	2
			\$													
Opening inventory	25 000															
Add: Purchases	<u>360 000</u>															
	385 000															
Less: Closing inventory	<u>50 000</u>															
Cost of goods sold	<u><u>335 000</u></u>															
Requirement:	To increase the inventory turnover, the firm decided to pay salary according to performance. Suggest one form of performance-based pay that the firm could introduce.															

Section C: Essay Questions

Year	#	Question		Mark(s)
2017	7(b)	Information:	An airline company is considering enhancing the fringe benefits of its employees. In order to investigate the financial affordability of this measure, the company uses accounting ratios to evaluate its performance.	12
		Requirement:	Illustrate with examples the purposes of providing fringe benefits to the employees of an airline company.	
2023	7(b)	Information:	Yummy Dining Group is a private limited company which operates over ten Chinese restaurants in Hong Kong. The group is reforming and planning to adjust the pricing strategies for its restaurants based on different marketing objectives. Moreover, it will introduce performance-based pay to motivate employees.	10
		Requirement:	Suggest the forms of performance-based pay that this dining group could introduce and explain how each form could motivate the employees.	

Section B: Case Study Questions

Year	#	Question	Mark(s)
2013	8(b)	Apart from providing above market level salaries, suggest three other types of monetary compensation methods that Wing Hung could adopt to motivate its employees to perform better.	6
2015	6(d)	Suggest four non-monetary rewards that Lucky could give to its salespeople.	4
2018	6(a)	Explain three disadvantages of Johnny's proposal to change the remuneration system.	6
2022	5(b)	Give two reasons for Alvin to change the employment of the existing full-time waiters to a part-time basis.	4
2025	6(e)	Apart from complying with the legal requirements, explain with examples two purposes for Emily Limited providing additional fringe benefits to its staff.	4

HRM704 Training and Development

Section A: Short Questions

Year	#	Question		Mark(s)
2015	3	Explain three benefits to a company of providing orientation programmes to new employees.		6
2017	3	Outline three objectives of providing training to the drivers of a transportation company.		6
2023	2(b)	Suggest two on-the-job training methods for newly-recruited aircraft maintenance technicians in this airline company.		4
2025	3(b)	Information:	A dance school provides various kinds of on-the-job training and overseas exchange opportunities for its dance instructors to enhance their dance skills and teaching skills.	4
		Requirement:	Explain two advantages of providing on-the-job training for the dance instructors.	

Section C: Essay Questions

Year	#	Question		Mark(s)
2012	8(a)	Information:	Training front-line staff is important to banks.	10
		Requirement:	Describe the steps that a bank should take to perform its training function.	
2022	7(a)	Information:	A bus company provides regular training for its employees. Recently, it has been considering buying a new model of double-decker buses to replace the existing ones.	10
		Requirement:	Illustrate with examples the objectives of the bus company in providing training for its employees.	

Section B: Case Study Questions

Year	#	Question		Mark(s)
2014	6(c)	Grassland has identified the training needs of its merchandisers. Describe three of the remaining steps that it should take in the training process.		6
2016	7(c)	Suggest three off-the-job training methods and state how each of them can help the sales team of Centralwash increase the success rate of personal selling.		6
2019	6(d)(i)	Suggest one on-the-job training method for the newly-recruited sales trainees.		1
2019	6(d)(ii)	Explain one advantage, from the perspective of the sales trainees, of receiving on-the-job training instead of off-the-job training.		2
2020	6(d)(i)	From the perspective of Sum Kee, explain two reasons for arranging off-the-job training instead of on-the-job training for the salespersons.		4
2020	6(d)(ii)	Suggest one off-the-job training method for Sum Kee that could improve the performance of its salespersons.		2
2024	5(f)	As compared with on-the-job training, explain one advantage for the language learning centre of arranging classroom training for the teaching staff.		2
2013	8(c)	With reference to two characteristics of service, give one reason each to explain why training can help Wing Hung to meet today's service standard.		4

HRM705 Development of Quality Workforce

Section A: Short Questions

Year	#	Question		Mark(s)
2016	2	With reference to Herzberg's Dual-factor Theory, suggest two factors that can lead to job satisfaction for designers in a fashion company. Illustrate your answer with an example of each.		4
2018	3	Suggest three internal communication programmes that could enhance the employee relations of a large enterprise.		6
2023	1(a)	Suggest two internal communication programmes that could help the management of a large enterprise understand the opinions of the employees towards a new policy.		4
2023	1(b)	With reference to McGregor's Theory X and Theory Y, give one assumption of Theory Y employees and suggest one way to motivate them based on this assumption.		2
2025	3(a)	Information:	A dance school provides various kinds of on-the-job training and overseas exchange opportunities for its dance instructors to enhance their dance skills and teaching skills.	2
		Requirement:	With reference to Herzberg's Dual-factor Theory, which factor does the offering of overseas exchange opportunities to dance instructors belong to? Explain why.	

Section C: Essay Questions

Year	#	Question		Mark(s)
2020	8(a)	Information:	The staff turnover rate of a hair salon has been quite high in recent months. Besides, a large number of complaints have been received from customers about a deterioration in service quality.	10
		Requirement:	Applying Maslow's Hierarchy of Needs Theory, suggest ways to reduce the staff turnover rate of the hair salon.	

Section B: Case Study Questions

Year	#	Question		Mark(s)
2012	7(a)	From the perspective of human resources management, identify two possible adverse consequences of crew members' low morale to Skyline Airways,		4
2012	7(b)	With reference to Herzberg's Dual-Factor Theory, suggest three ways to motivate the crew members of Skyline Airways.		6
2013	8(a)	With reference to McGregor's Theory X and Theory Y, state three assumptions that Richard holds in relation to managing his employees. Illustrate each with an example.		6
2015	6(c)	With reference to two relevant assumptions of McGregor's Theory X and Theory Y, explain why strict control over the salespeople could make them work hard.		4
2017	5(b)	With reference to Maslow's Hierarchy of Needs Theory, explain two levels of needs which Marco's retail chain may not currently satisfy for its salespersons.		4
2018	6(b)(i)	Information:	With reference to the assumptions of McGregor's Theory X and Theory Y,	1
		Requirement:	give one piece of information from the case to support Johnny's view that the staff of Sun Fung Company belong to the Theory Y type.	
2018	6(b)(ii)	Information:	With reference to the assumptions of McGregor's Theory X and Theory Y,	4
		Requirement:	suggest two other ways in which Sun Fung Company could motivate its staff.	
2019	6(c)(i)	Information:	In view of the complaints made by the staff who left the company, and with reference to Herzberg's Dual-factor Theory,	2
		Requirement:	explain why the staff of Speedy Company are not motivated by the attractive remuneration and comfortable working environment.	
2019	6(c)(ii)	Information:	In view of the complaints made by the staff who left the company, and with reference to Herzberg's Dual-factor Theory,	4
		Requirement:	suggest two ways to motivate the staff of Speedy Company.	
2020	5(e)	Suggest two internal communication programmes that could help the new waiters to adapt to the working environment.		4
2021	5(d)	With reference to the characteristics of Theory X employees, suggest two ways to improve the morale of the salespeople.		4
2022	6(b)	With reference to Herzberg's Dual-factor Theory, explain with one example each the meaning of hygiene factor and motivator, to help Helen Fashion formulate measures to boost the staff morale.		4
2024	6(e)	With reference to two relevant levels of needs in Maslow's Hierarchy of Needs Theory, suggest one way each that Lucky Company could adopt to retain its salespeople.		4

Name:
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Class No: